

DDCP Foundation, Inc.

A Wyoming Nonprofit Corporation

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COMMENT LETTER

Federal Deposit Insurance Corporation

*GENIUS Act Requirements and Standards for FDIC-Supervised
Permitted Payment Stablecoin Issuers and Insured Depository Institutions*

RIN 3064-AG19

June 9, 2026

Comment Period Closes: June 9, 2026

I. Introduction

DDCP Foundation, Inc. (Foundation) respectfully submits this comment on the Federal Deposit Insurance Corporation's (FDIC) notice of proposed rulemaking implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act (GENIUS Act).

The Foundation is a Wyoming nonprofit corporation that fosters and stewards the development and maintenance of the DDCP open-source protocol infrastructure. This comment is also submitted on behalf of **DDUSD, LLC** (in formation), a Wyoming limited liability company that will be the first token deployment on the DDCP protocol and intends to file a permitted payment stablecoin issuer (PPSI) license application with the Office of the Comptroller of the Currency (OCC). This comment is further submitted on behalf of the **DDCP Reserve Management Foundation** (RMF), a Swiss-domiciled nonprofit in formation that will serve as third-party reserve manager for DDUSD, LLC under GENIUS Act section 4(a)(7)(A)(iii).

This comment is consistent with and extends the Foundation's OCC Comment (Docket OCC-2025-0372, Comment ID OCC-2025-0372-0257, filed May 1, 2026) and OCC Supplementary Comment (Docket OCC-2025-0372, OCC-2025-0372-0349, filed May 20, 2026). The Foundation is also submitting concurrently a comment on FinCEN/OFAC Docket FINCEN-2026-0100, as part of a coordinated set of GENIUS Act implementation filings. We respectfully request that this comment be read in conjunction with both OCC filings.

This comment advances four arguments. The first two — entity classification and lawful order compliance capability — appear across all of the Foundation's GENIUS Act filings and are grounded in the OCC rulemaking record. The last two address FDIC-specific provisions of the proposed rule.

1. Entity classification: DDUSD, LLC is the sole PPSI. The Foundation, the DDCP protocol, and the RMF are neither PPSIs nor digital asset service providers. Section II establishes each entity's classification under independent statutory analyses.
2. Lawful order compliance capability: DDUSD, LLC will possess the technological capability to comply with lawful orders under GENIUS Act section 4(a)(6)(B) through co-signature authority and Financial Intermediary coordination, for the population of tokens held at Financial Intermediary layer entities and persons identifiable through KYC and KYB records. Section III develops the compliance capability arguments, the digital bearer instrument position for self-custody wallets, and the procedural constraints applicable to all PPSI architectures.
3. Redemption gate: The proposed 10 percent threshold in proposed section 350.5(c) will bind on new-deployment stablecoins under normal operating conditions before any signal of financial stress. We request that the FDIC confirm the supervisory discretion model rather than an automatic mandatory gate, consistent with the GENIUS Act's tailoring mandate.
4. Capital proportionality and reporting tailoring: GENIUS Act section 4(a)(4)(A)(i)'s tailoring mandate requires capital requirements and reporting obligations calibrated to DDUSD, LLC's actual risk profile. The 12-month operational backstop period and the uniform weekly reporting cadence warrant recalibration for de novo issuers.

II. Entity Classification Under the GENIUS Act

A. DDCP Foundation, Inc.

The Foundation is a protocol steward. Its activities are expressly excluded from the GENIUS Act's definition of "digital asset service provider" (DASP) by section 2(7)(B)(ii), which excludes "developing, operating, or engaging in the business of developing distributed ledger protocols or self-custodial software interfaces." The Foundation does not issue payment stablecoins, does not hold reserve assets, does not accept or transmit monetary value on behalf of any person, and does not engage in any activity within the operative clauses of section 2(7)(A). DDCP Foundation is not a PPSI under GENIUS Act section 2(23). These two conclusions — DASP exclusion and PPSI non-applicability — are independent; neither follows from the other; each rests on its own statutory terms.

Subpart A of the proposed rule governs FDIC-supervised PPSIs. The Foundation is neither a PPSI nor an FDIC-supervised institution; no Subpart A obligation attaches to the Foundation on any basis. Proposed section 350.100's exclusion from Subpart B for "any person solely on the basis that such person engages in the business of providing hardware or software to facilitate a customer's own custody" confirms that the Foundation's open-source protocol development, which enables self-custody wallet functionality, does not give rise to Subpart B custodial obligations. The Foundation endorses this exclusion as an accurate implementation of GENIUS Act section 10(e).

B. DDUSD, LLC

DDUSD, LLC is the prospective PPSI. It will issue DDUSD tokens, maintain co-signature authority over the DDUSD token contract's issuance and redemption functions, hold reserve assets, and bear all PPSI compliance obligations under the GENIUS Act. DDUSD, LLC does not engage in the exchange of digital assets for other digital assets as a business activity within the meaning of GENIUS Act section 2(7)(A)(ii). DDUSD, LLC is not a DASP.

DDUSD, LLC will seek a PPSI license from the OCC as a nonbank entity. It is not a subsidiary of an FDIC-supervised insured depository institution. The proposed rule's Subpart A requirements for FDIC-supervised PPSIs do not apply to DDUSD, LLC directly as a prospective OCC-licensed nonbank PPSI. DDUSD, LLC is not an FDIC-supervised institution and does not provide custodial services in a manner that would subject it to Subpart B of the proposed rule.

C. DDCP Reserve Management Foundation

The RMF will serve as third-party reserve manager for DDUSD, LLC under GENIUS Act section 4(a)(7)(A)(iii). The statutory obligation to "maintain" reserve assets under GENIUS Act section 4(a)(1)(A) runs to DDUSD, LLC as the licensed PPSI; that obligation is not diminished by the fact that the reserve management function is operationalized through a third-party arrangement. The RMF manages the reserve assets backing DDUSD, LLC's payment stablecoin issuance pursuant to a management agreement with DDUSD, LLC; the specific legal characterization of the reserve holding structure under that agreement is a matter to be addressed through pre-application engagement. The RMF does not issue payment stablecoins and is not a PPSI under GENIUS Act section 2(23). Its reserve management activities do not constitute DASP activity under section 2(7)(A). These conclusions — DASP exclusion and PPSI non-applicability — are independent.

The RMF is a Swiss-domiciled nonprofit. It is not an FDIC-supervised entity. No Subpart A obligation attaches to the RMF, which is not a PPSI. No Subpart B obligation attaches to the RMF, which is not an FDIC-supervised institution. These conclusions rest on the RMF's supervisory status, not on the nature of the assets it manages.

III. Lawful Order Compliance Capability

A. DDUSD, LLC's Compliance Capability

GENIUS Act section 4(a)(6)(B) requires that a PPSI "have the technological capability to block, freeze, burn, and prevent the transfer of payment stablecoins ... in response to a lawful order." DDUSD, LLC will possess this capability for the population of tokens held at Financial Intermediary layer entities and persons identifiable through KYC and KYB records.

"Primary market" activity means original issuance and redemption transactions in which DDUSD, LLC participates directly as a co-signer. "Secondary market" activity means all subsequent transfers of DDUSD tokens between holders, whether through Financial Intermediary layer entities (exchanges, custodial wallet providers, and other entities holding direct account relationships with token holders) or through self-custody peer-to-peer transfers.

For primary market activity and for secondary market activity involving Financial Intermediary layer entities, DDUSD, LLC will possess three compliance capabilities covering the GENIUS Act's full set of lawful order verbs — block, freeze, burn, and prevent transfer:

1. Refuse new issuance to a person identified by Financial Intermediary layer entity KYC and KYB records as the subject of a lawful order, exercised through co-signature authority over the DDUSD token contract's issuance function.
2. Refuse redemption of tokens presented by or on behalf of that person, exercised through contractual relationships with Financial Intermediary layer entities under which those entities are obligated to act on DDUSD, LLC's instructions for persons identified in lawful orders.
3. Execute a burn of tokens held in custodial relationships at Financial Intermediary layer entities when presented by the Financial Intermediary acting under a lawful order, permanently reducing outstanding issuance value with an on-chain auditable record.

Primary market screening — including SDN list screening and on-chain monitoring of counterparty addresses before co-signing any issuance — supplements these three capabilities at the moment tokens enter circulation. For self-custody wallet tokens, DDUSD, LLC does not possess protocol-level compliance capability; this is addressed in Section III.B.

B. Self-Custody Wallets as Digital Bearer Instruments

When DDUSD tokens move from a self-custody wallet to a Financial Intermediary layer entity — an exchange, custodial wallet provider, or other entity holding a direct account relationship with the token holder — the bearer instrument becomes an account, the anonymous holder becomes an identified customer, and the compliance obligation under GENIUS Act section 4(a)(6)(B) becomes fully satisfiable through Financial Intermediary coordination. Before that transition, in a self-custody wallet, DDUSD reflects the properties of physical cash: a bearer instrument held outside any institutional relationship, under the direct control of the holder.

Physical cash is a bearer instrument: possession confers the entitlement, and seizure requires physical presence and legal process. DDUSD in a self-custody wallet has the same structure. The holder controls the private key; the tokens are under direct custody; no institutional intermediary holds them. A licensing condition requiring a centralized administrative key with post-issuance override capability over self-custody wallet addresses would eliminate this property — engineering into a federally licensed stablecoin, as a condition of its authorization, a standing override capability over all self-custody wallet transactions. Three independent authorities indicate that this property should be preserved.

Executive Order 14178, Sections 1(a)(i) and 1(a)(v) (January 23, 2025). Section 1(a)(i) establishes as express executive policy "protecting and promoting the ability of individual citizens and private-sector entities alike to access and use for lawful purposes open public blockchain networks without persecution, including the ability to ... transact with other persons without unlawful censorship, and to maintain self-custody of digital assets." Section 1(a)(v) directs "taking measures to protect Americans from the risks of Central Bank Digital Currencies (CBDCs), which threaten the stability of the financial system, individual privacy, and the sovereignty of the United States." A centralized

administrative key would produce, as a permanent architectural feature, the standing override capability section 1(a)(v) identifies as threatening — reproduced in a federally licensed private payment stablecoin as a condition of its authorization. Where "technological capability to comply" in GENIUS Act section 4(a)(6)(B) presents genuine interpretive ambiguity, EO 14178's policy commitments in sections 1(a)(i) and 1(a)(v) support the reading that does not require a centralized administrative key as a licensing condition.

21st Century ROAD to Housing Act, §1001 (Senate passed 89-10, March 12, 2026) (adding Federal Reserve Act §16A(c)). Federal Reserve Act §16A(c), as added by Section 1001 of the ROAD Act, provides that the CBDC prohibition enacted by that legislation "shall not prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency." DDUSD is designed to be precisely this instrument.

Digital Asset Market Clarity Act of 2025 (CLARITY Act), §604 (House passed 294-134; Senate Banking Committee passed 15-9, May 14, 2026) (adding Federal Reserve Act §10(11)(C)). Federal Reserve Act §10(11)(C), as added by CLARITY Act §604, provides, in identical language, that the CBDC prohibition in that legislation "may not be construed to prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency." As a dedicated digital asset market structure bill advanced by the Senate Banking Committee — which has direct oversight jurisdiction over the FDIC and the OCC — the CLARITY Act carries particular weight as Congressional intent on the PPSI licensing question. Neither the ROAD Act nor the CLARITY Act has yet been enacted; both are citable as evidence of Congressional policy direction.

Two independent legislative vehicles with identical language evidence a deliberate bipartisan consensus: open, permissionless, private dollar-denominated currency that fully preserves the privacy protections of physical currency is a category Congress intends to protect. DDUSD is designed to be precisely this instrument. A licensing condition requiring a centralized administrative key would foreclose that category. Where "technological capability to comply" presents genuine interpretive ambiguity, EO 14178 and this cumulative Congressional intent support the reading that does not impose that condition.

These authorities address, by their terms, the protections of U.S. persons. A centralized administrative key cannot honor that limitation in practice: without KYC and KYB records for self-custody wallet holders, there is no mechanism to determine whether a given holder is a U.S. person. The key operates on addresses, not on identity. A compliance mechanism directed at self-custody wallets on the ground that some holders may not be U.S. persons therefore simultaneously subjects every U.S. person holding DDUSD in self-custody to the same override capability — without any ability to distinguish them. The protections EO 14178 and the cited legislation establish for U.S. persons are given practical effect only if self-custody wallets, as a class, are not subject to protocol-level override.

C. The "Accounts" Definition

GENIUS Act section 2(16)(B) defines "lawful order" to require identification of "payment stablecoins or accounts" with reasonable particularity. The proposed rule's section 350.1(b)(3) defines "customer" as any person who holds payment stablecoins issued by a PPSI or who acquires

or redeems payment stablecoins directly from a PPSI or a financial services entity — a definition that reflects a direct institutional relationship. Self-custody wallet holders of DDUSD tokens are not "customers" of DDUSD, LLC under this framework: they hold no account relationship with DDUSD, LLC; DDUSD, LLC maintains no KYC or account records for them; and no contractual relationship with DDUSD, LLC exists. "Accounts" in GENIUS Act section 2(16)(B)'s lawful order definition, read consistently with the proposed rule's customer definition, means formal account relationships at Financial Intermediary layer entities — not self-custody wallet addresses.

D. Architectural Pluralism

The GENIUS Act does not mandate a centralized administrative key as the exclusive permissible means of satisfying GENIUS Act section 4(a)(6)(B). The statute specifies the outcome — compliance with lawful orders — without prescribing the mechanism. DDUSD, LLC's architecture achieves that outcome through co-signature authority and Financial Intermediary coordination for the full population of lawful orders that can be issued with the particularity GENIUS Act section 2(16)(B) requires.

A reading mandating a centralized administrative key as the only permissible architecture would produce three consequences the Act does not require. First, it would concentrate a standing governmental override capability over payment flows in a small number of issuers reachable by executive action — producing at scale precisely the architectural property EO 14178 identified as the defining threat of CBDCs. Second, it would eliminate architectural competition among PPSIs, foreclosing designs that achieve equivalent enforcement outcomes through Financial Intermediary layer identity mechanisms while preserving the self-custody protections EO 14178 promotes. Third, it is an interpretive choice the statute does not require: co-signature authority and Financial Intermediary coordination achieve the enforcement outcomes the Act requires without these consequences.

E. Procedural Constraints on Centralized Administrative Keys

The GENIUS Act section 2(16)(B) reasonable particularity standard constrains what a court may order. It does not and cannot constrain what a centralized administrative key executes, because the key operates at the address layer with no visibility into the internal accounting of shared pools, bridging contracts, or other infrastructure holding multiple parties' assets. The gap between the legal particularity of an order and the execution precision of a centralized key is architectural and cannot be resolved by better-drafted orders; the execution mechanism cannot match that specificity at the application layer. Protocols that hold freezable assets in pooled structures inherit this blast radius from the upstream issuer's centralized key, regardless of their own compliance design.

Two episodes in the public record demonstrate that this gap has produced documented harm under properly authorized judicial process.

On March 23, 2026, Circle froze USDC balances in sixteen active business hot wallets — crypto exchanges, online casinos, and foreign currency exchange platforms — pursuant to a sealed civil TRO in S.D.N.Y. No. 26-cv-2327. The sixteen addresses had no apparent connection to each other or to the subject of the underlying litigation. The order was judicially authorized; the execution was not limited to its target.

On May 29, 2026, a TRO in *Newton AC/DC Fund L.P. et al. v. Maxim Ermilov et al.* (Judge P. Casey Pitts, N.D. Cal.) directed Circle to blacklist a specific wallet that had deposited funds into Zama's cUSDC smart contract pool. Because Circle's blacklist function operates at the address layer with no visibility into the pool's internal accounting, executing the order against the pool address froze the entire pool — locking every depositor regardless of any connection to the underlying dispute. On its scheduled June 1 review, the issuing court determined the freeze was unwarranted and lifted it. The order was specific and properly scoped; the execution mechanism could not match the order's precision.

Any PPSI that implements a centralized administrative key with post-issuance freeze capability should be required to exercise that capability exclusively pursuant to a lawful order meeting the GENIUS Act section 2(16) definition: an order issued by a court of competent jurisdiction or by an authorized Federal agency pursuant to its statutory authority, specifying the payment stablecoins or accounts subject to blocking with reasonable particularity, and subject to judicial or administrative review or appeal as provided by law. This requirement addresses the practice of exercising centralized keys on the basis of instruments that do not meet the section 2(16) definition — administrative designations and informal requests without the particularity and review requirements the statute was written to require. It does not resolve the structural execution gap described above, which is architectural to the centralized key design and which the two documented episodes confirm persists even under valid judicial process. The FDIC's safety-and-soundness mandate is engaged by both dimensions of this problem. We urge the FDIC to confirm this requirement in the final rule and to coordinate it with the OCC — which has both OCC-2025-0372-0257 and OCC-2025-0372-0349 on its rulemaking record on this question — and with other PPSI regulators consistent with GENIUS Act section 13.

DDUSD, LLC's co-signature architecture satisfies the reasonable particularity requirement by design. Co-signature authority operates on identified persons through Financial Intermediary KYC/KYB records, not on wallet addresses. When a lawful order is directed at an identified person, DDUSD, LLC executes against that person's primary market access — refusing new issuance and redemption co-signatures for that person — without touching tokens held by any other party. Execution precision matches the legal particularity of the order as a structural property of the architecture, not as a policy choice subject to administrative error or override. The structural execution gap documented above does not exist in this design: there is no address-layer key whose blast radius can exceed the scope of the order directing its use.

F. Confirmations Requested

We respectfully request that the FDIC confirm the following in the final rule or accompanying preamble:

- That co-signature authority and Financial Intermediary coordination constitute a permissible implementation of GENIUS Act section 4(a)(6)(B) for the population of tokens held at Financial Intermediary layer entities; that this compliance capability covers the full set of lawful order verbs — block, freeze, burn, and prevent transfer — for that population; and that implementation method is a technology-neutral compliance question, consistent with the positions on the OCC rulemaking record (OCC-2025-0372-0257 and OCC-2025-0372-0349).

- That the interpretive question of whether GENIUS Act section 4(a)(6)(B) requires protocol-level override capability for self-custody wallet tokens is an open question to be addressed through pre-application engagement with OCC licensing staff; that EO 14178 Sections 1(a)(i) and 1(a)(v), ROAD Act §1001 (adding Federal Reserve Act §16A(c)) (Senate passed 89-10, March 12, 2026), and CLARITY Act §604 (adding Federal Reserve Act §10(11)(C)) (House passed 294-134; Senate Banking Committee passed 15-9, May 14, 2026) are relevant authorities for resolving that interpretive ambiguity; and that the FDIC will coordinate with the OCC on this open question consistent with GENIUS Act section 13.
- That "accounts" in GENIUS Act section 2(16)(B) refers to formal customer account relationships at Financial Intermediary layer entities, read consistently with the proposed rule's customer definition in proposed section 350.1(b)(3), and does not include self-custody wallet addresses.
- That GENIUS Act section 4(a)(6)(B) compliance is technology-neutral; that a reading mandating a centralized administrative key as the exclusive permissible compliance architecture would produce CBDC-like concentration of override capability that EO 14178 and cumulative Congressional intent disfavor; that DDUSD, LLC's architecture satisfies the statute for the population it can lawfully reach; and that a co-signature architecture that executes on identified persons through Financial Intermediary KYC/KYB records without an address-layer key inherently satisfies the execution precision component of any lawful order's reasonable particularity requirement.

We respectfully request that the FDIC further require, in the final rule or guidance, that any PPSI implementing a centralized administrative key exercise that capability exclusively pursuant to a lawful order meeting GENIUS Act section 2(16), with each exercise documented and subject to supervisory audit. This requirement addresses the extrajudicial use of centralized keys; it does not resolve the structural execution-overbreadth problem, which is architectural. The FDIC should coordinate this requirement with the OCC — which has both OCC-2025-0372-0257 and OCC-2025-0372-0349 on its rulemaking record — and with other PPSI regulators consistent with GENIUS Act section 13.

IV. Redemption Gate (Proposed §350.5(c))

A. The Proposed Threshold Is Miscalibrated for New-Deployment Stablecoins

Proposed section 350.5(c) defines a "significant redemption request" as aggregate redemption requests exceeding 10 percent of a PPSI's outstanding issuance value within a 24-hour period, triggering immediate notification to the FDIC and permitting the FDIC in its discretion to extend the two-business-day redemption window. We respectfully submit that this threshold, applied as a uniform mandatory trigger regardless of issuance scale or market structure, is poorly calibrated to actual stablecoin market dynamics and will bind on new-deployment stablecoins under normal operating conditions before any signal of financial stress.

Anchorage Digital Bank's comment on OCC Docket OCC-2025-0372 (filed May 1, 2026) presents empirical analysis of redemption profiles across major stablecoins demonstrating that the proposed 10 percent daily threshold is poorly calibrated to actual market dynamics. ADB's data shows peak

single-day supply contraction of 22.2% for USDtb and 13.5% for PYUSD under normal operating conditions — both exceeding the proposed threshold without any corresponding signal of financial stress. Daily supply volatility for mid-cap stablecoins ranges from 2.5% to 2.8%, compared to below 0.6% for large-cap stablecoins, and ADB concludes that the gating mechanism will disproportionately impact smaller and newer stablecoins by treating routine institutional redemption activity as a stress trigger. DDUSD, as a new deployment, will exhibit redemption profile characteristics consistent with smaller and mid-cap stablecoins in its early growth phase. A fixed uniform threshold that binds on DDUSD under normal operating conditions — before any actual financial stress — would impair the token's ability to scale and impose competitive barriers to entry that the GENIUS Act's tailoring mandate under section 4(a)(4)(A)(i) was designed to prevent. We urge the FDIC to adopt the supervisory discretion model under section 350.5(c) rather than an automatic mandatory gate, consistent with the approach the SEC took in eliminating Rule 2a-7's mandatory gate framework in 2023 after observing the same pre-emptive run dynamics ADB's analysis identifies.

B. The Supervisory Discretion Model Is the Appropriate Approach

The proposed rule already contemplates supervisory discretion as the operative mechanism: upon notification, the FDIC "in its sole discretion may choose to grant or deny the request for extension." We endorse this discretionary structure and request that the FDIC confirm in the final rule that the 10 percent notification trigger does not operate as an automatic gate and does not impair a PPSI's obligation to continue meeting timely redemption requests during the notification and review period. A PPSI in compliance with the reserve composition requirements of proposed section 350.4 should be permitted to continue redeeming at par during the review period; an automatic extension that interrupts redemptions before supervisory review creates the precise run dynamic the gate is designed to prevent.

We further request that the FDIC consider calibrating the notification trigger to actual stress indicators rather than a fixed percentage of outstanding issuance value. Relevant indicators might include: observable de-pegging in secondary market prices; a PPSI-initiated notification of reserve shortfall under proposed section 350.4(i)(1); or a PPSI's own determination that its monetization capability under proposed section 350.4(d) is being tested under current market conditions. A notification obligation tied to these objective indicators would provide equivalent supervisory visibility with materially less distortion of routine institutional redemption activity.

We respectfully request that the FDIC confirm that proposed section 350.5(c)'s 10 percent threshold operates as a notification trigger enabling supervisory review — not as an automatic redemption extension — and that the FDIC will evaluate stress-indicator-based threshold alternatives consistent with the GENIUS Act section 4(a)(4)(A)(i) tailoring mandate.

V. Capital Proportionality, De Novo Floor, and Reporting Tailoring

A. The Tailoring Mandate Applied to DDUSD, LLC's Risk Profile

GENIUS Act section 4(a)(4)(A)(i) requires capital requirements for PPSIs that are "tailored to the business model and risk profile of permitted payment stablecoin issuers" and "do not exceed standards that are sufficient to ensure the ongoing operations of permitted payment stablecoin issuers." We respectfully submit that a capital requirement appropriately tailored to DDUSD,

LLC's risk profile will be materially lower than requirements calibrated to the full range of PPSI business models the proposed rule contemplates.

DDUSD, LLC's business model is deliberately narrow: issuance and redemption of a USD-pegged payment stablecoin backed one-to-one by reserve assets constituted exclusively of the instruments enumerated in proposed section 350.4(e). DDUSD, LLC will hold no credit assets, carry no leverage, accept no deposit liabilities, and maintain no investment portfolio outside permissible reserves. The risk categories that motivate higher capital requirements for more complex financial institutions — credit risk from lending portfolios, market risk from investment positions, and funding risk from volatile deposit bases — are structurally absent from DDUSD, LLC's balance sheet by design. The capital adequacy concerns that AFREF and others have raised about stablecoin issuers — however valid for issuers with active investment portfolios or complex reserve compositions — do not apply to DDUSD, LLC's architecture. The Circle and Coinbase frameworks advocated on the OCC record — capital requirements scaled to each issuer's actual risk profile — apply directly here.

B. The INTRUST Deposit-Substitution Concern

INTRUST Bank's comment in the OCC proceeding (ID OCC-2025-0372-0343) raised safety-and-soundness concerns about the risk that payment stablecoin adoption could substitute for insured deposit accounts. We acknowledge this as a legitimate systemic consideration but submit that it does not support heightened capital requirements for DDUSD, LLC specifically. DDUSD, LLC does not accept deposits, does not hold deposit liabilities on its balance sheet, and does not compete with insured depository institutions for deposit funding. The deposit-substitution concern is a macroprudential matter appropriately addressed through aggregate monitoring and supervisory policy, not a firm-specific capital driver for a narrow-purpose payment stablecoin issuer with no deposit activities. The proposed Part 330 amendment clarifying that reserve deposits are insured to the PPSI as corporate deposits reinforces the structural distinction between payment stablecoins and insured deposits.

C. The De Novo Floor and the 12-Month Backstop

We support the proposed \$5 million de novo minimum capital floor as an appropriate baseline consistent with the individual-basis authority in GENIUS Act section 4(a)(4)(B)(i). We request, however, that the FDIC reconsider the proposed 12-month operational backstop period. As Fidelity noted in its comment on OCC Docket OCC-2025-0372, the OCC has recently issued conditional charter approvals with operating expense backstop requirements of only six months. A 12-month backstop requirement that materially exceeds established OCC practice imposes disproportionate capitalization requirements on applicants whose risk profiles are materially lower than de novo bank charter applicants. The section 4(a)(4)(A)(i) tailoring obligation supports aligning the backstop period with actual operating risk and established cross-regulator practice, in coordination with the OCC consistent with GENIUS Act section 13.

D. Reporting Tailoring for De Novo PPSIs (Questions 91 and 92)

Proposed section 350.7(g) would require all PPSIs to submit confidential weekly reports to the FDIC (Question 91); proposed section 350.7(h) would require quarterly financial condition reports (Question 92). We support supervisory reporting as a necessary tool for the FDIC to monitor PPSI

operations. A weekly reporting cadence applied identically to a PPSI with \$50 billion in outstanding issuance value and a de novo PPSI with a small initial float imposes reporting infrastructure costs disproportionate to the supervisory benefit for new entrants. The tailoring mandate supports a threshold-based approach — monthly reporting for PPSIs below a defined outstanding issuance value threshold, transitioning automatically to weekly cadence as issuance scale grows. We request that the FDIC consider whether proposed section 350.7(g) appropriately implements the tailoring mandate for de novo issuers, and whether the quarterly cadence under proposed section 350.7(h) could serve below a defined threshold, with weekly reporting triggered on crossing that threshold.

We respectfully request that the FDIC confirm that GENIUS Act section 4(a)(4)(A)(i) requires capital requirements calibrated to each PPSI's actual risk profile; that a PPSI with no credit assets, no leverage, no deposit liabilities, and no investment portfolio outside permissible reserves warrants capital requirements reflecting that narrow profile; that the 12-month operational backstop period will be calibrated to established cross-regulator practice for new entrants in coordination with the OCC; and that proposed section 350.7(g)'s weekly reporting requirement will be implemented with threshold-based accommodation for de novo PPSIs, consistent with the tailoring mandate.

VI. Responses to Specific Requests for Comment

The following is the Foundation's classification of the NPRM's requests for comment. Questions addressed substantively in the main sections are cross-referenced; questions for which no position is taken include a brief statement of reason.

- Q12 and Q72 (significant redemption request definition and gate discretion): Addressed in Section IV. The 10 percent threshold is miscalibrated for new-deployment stablecoins; the supervisory discretion model is the appropriate approach.
- Q3 (customer definition and secondary market holder exclusion): Addressed in Section III.C. Self-custody wallet holders are not customers of DDUSD, LLC under proposed section 350.1(b)(3) and have no account relationship giving rise to a lawful order obligation.
- Q96-Q112 (capital requirements, de novo floor, backstop period): Addressed in Sections V.A through V.C. We support the \$5 million floor and request recalibration of the 12-month backstop consistent with established OCC practice.
- Q91 and Q92 (weekly and quarterly reporting frequency): Addressed in Section V.D. We request threshold-based reporting relief for de novo PPSIs consistent with the tailoring mandate.
- Q79 (principles-based risk management standards): We affirmatively support a high-level principles-based approach to risk management standards under proposed section 350.6. No additional comment.
- Q113-Q124 (Subpart B custodial requirements): No position other than the Subpart B exclusion noted in Section II.A for the Foundation's open-source protocol development.

- Q125-Q144 (deposit insurance, tokenized deposits, plain language): No position. These provisions do not raise compliance questions specific to DDUSD, LLC's architecture or the Foundation's role as protocol steward.

VII. Conclusion and Confirmations Requested

DDCP Foundation, Inc. submits this comment as steward of the DDCP open-source protocol infrastructure, on behalf of DDUSD, LLC (in formation) as the prospective OCC-supervised PPSI, and on behalf of the DDCP Reserve Management Foundation (in formation) as third-party reserve manager. All positions in this comment are fully consistent with and extend the OCC Comment (OCC-2025-0372-0257, filed May 1, 2026) and the OCC Supplementary Comment (OCC-2025-0372-0349, filed May 20, 2026). We respectfully request that this comment be read in conjunction with both OCC filings and that the FDIC coordinate with the OCC on the interpretive questions this comment addresses, consistent with GENIUS Act section 13. DDUSD, LLC intends to engage further through pre-application engagement with OCC licensing staff on the open interpretive questions identified in this comment.

We respectfully request that the FDIC address the following confirmations in the final rule or accompanying preamble:

- Entity classification: Confirm that the Foundation's DASP exclusion under GENIUS Act section 2(7)(B)(ii) and PPSI non-applicability under section 2(23) are independent statutory conclusions, and that no Subpart A or Subpart B obligation attaches to the Foundation; that proposed section 350.100's self-custody software exclusion covers the Foundation's open-source protocol development; that DDUSD, LLC is the sole entity bearing Subpart A compliance obligations for the DDUSD deployment and bears no Subpart B obligations as a prospective OCC-licensed nonbank PPSI; and that the RMF, as third-party reserve manager under GENIUS Act section 4(a)(7)(A)(iii), is neither a DASP nor a PPSI and bears no Subpart A or Subpart B obligations.
- Lawful order compliance capability: Confirm that co-signature authority and Financial Intermediary coordination constitute a permissible implementation of GENIUS Act section 4(a)(6)(B) for the population of tokens held at Financial Intermediary layer entities, and that implementation method is a technology-neutral compliance question; that "accounts" in GENIUS Act section 2(16)(B) means formal customer account relationships at Financial Intermediary layer entities, consistent with the customer definition in proposed section 350.1(b)(3), not self-custody wallet addresses; that the interpretive question of whether section 4(a)(6)(B) requires protocol-level override capability for self-custody wallet tokens is an open question, to be coordinated with the OCC consistent with section 13, and that EO 14178 Sections 1(a)(i) and 1(a)(v), ROAD Act §1001 (adding Federal Reserve Act §16A(c)), and CLARITY Act §604 (adding Federal Reserve Act §10(11)(C)) are relevant authorities for resolving that ambiguity; that any PPSI implementing a centralized administrative key must exercise that capability exclusively pursuant to a lawful order meeting GENIUS Act section 2(16) — issued by a court of competent jurisdiction or by an authorized Federal agency pursuant to its statutory authority, specifying the payment stablecoins or accounts with reasonable particularity, subject to judicial or administrative review — with each exercise documented and subject to supervisory audit.

- Redemption gate: Confirm that proposed section 350.5(c)'s 10 percent threshold operates as a notification trigger enabling supervisory review — not as an automatic redemption extension; that a PPSI in compliance with section 350.4's reserve requirements may continue meeting timely redemption requests during the review period; and that the FDIC will evaluate stress-indicator-based threshold alternatives consistent with the GENIUS Act section 4(a)(4)(A)(i) tailoring mandate.
- Capital proportionality and reporting tailoring: Confirm that GENIUS Act section 4(a)(4)(A)(i) requires capital requirements calibrated to each PPSI's actual risk profile; that a PPSI with no credit assets, no leverage, no deposit liabilities, and no investment portfolio outside permissible reserves warrants capital requirements reflecting that narrow profile; that the 12-month operational backstop period will be calibrated to established cross-regulator practice for new entrants in coordination with the OCC; and that proposed section 350.7(g)'s weekly reporting requirement will be implemented with threshold-based accommodation for de novo PPSIs consistent with the tailoring mandate.

DDCP Foundation thanks the FDIC for the opportunity to comment and looks forward to a payment stablecoin regulatory framework that promotes safety and soundness, consumer protection, and architectural diversity consistent with the GENIUS Act's objectives.

Respectfully submitted,

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June 9, 2026